

Why do you feel you need a financial adviser?

What are your long-term goals?

What has been your greatest frustration in dealing with other advisers (including yourself)?

Do you have a budget? Do you live within your means? What percentage of your assets do you spend each year?

When we look back a year from now, what will I need to have accomplished in order for you to be happy with your progress?

How do you handle conflicts or disagreements?

How did you respond emotionally to the bear market that began in 2000?

What are your worst financial fears? Your greatest financial hopes?

What rate of return on your investments do you consider reasonable? (Base your answer on Chapter 3.)

An adviser who doesn't ask questions like these—and who does not show enough interest in you to sense intuitively what other questions you consider to be the right ones—is not a good fit.

Above all else, you should trust your adviser enough to permit him or her to protect you from your worst enemy—yourself. “You hire an adviser,” explains commentator Nick Murray, “not to manage money but to manage you.”

“If the adviser is a line of defense between you and your worst impulsive tendencies,” says financial-planning analyst Robert Veres, “then he or she should have systems in place that will help the two of you control them.” Among those systems:

- a **comprehensive financial plan** that outlines how you will earn, save, spend, borrow, and invest your money;
- an **investment policy statement** that spells out your fundamental approach to investing;
- an **asset-allocation plan** that details how much money you will keep in different investment categories.

These are the building blocks on which good financial decisions must be founded, and they should be created mutually—by you and the adviser—rather than imposed unilaterally. You should not invest a dollar or make a